

- Die, which would result in a guaranteed minimum death benefit (GMDB) to a beneficiary
- Opt to receive slow and periodic income payments, which is the pay-out stage depicted in Figure 9.1. The slow and periodic income payments can be guaranteed for life, for a fixed period of time, or until the money runs out.

So, these are basically the three exit strategies (if you can call dying a strategy) for terminating an annuity policy, as shown in Figure 9.2. Each of these exit points is important in their own right, because there might be guarantees associated with each of these triggering events. And, obviously, the more guarantees that are included within the basic annuity structure, the more it might make sense to include them in your investment portfolio. If you are considering one of these, whether inside a 401(k) or IRA, or outside of a tax shelter, make sure you understand exactly how these events will impact the value of your account and the amount of money you can withdraw.

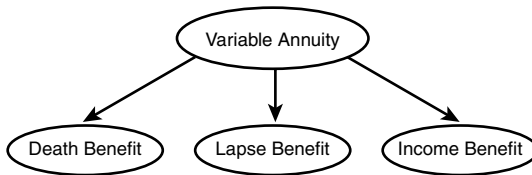


Figure 9.2 Three ways out....

Source: Moshe Milevsky and the IFID Centre, 2008.

Now let me get back to my statistical study of the late 1990s. At the time we conducted our research, most VA policies were only offering a basic guaranteed return-of-premium (RoP) death benefit, which meant that at the market's worst you got your money back, and only if you died. These guaranteed minimum death benefits, or GMDBs as they are abbreviated, were the only relevant guaranteed features that distinguished VA policies from their mutual fund cousins.